

Balancing Flexibility with Cost Control in Capped T&M Engagements

While capped time and material contracts offer flexibility and cost control, effectively managing these engagements requires a delicate balance:

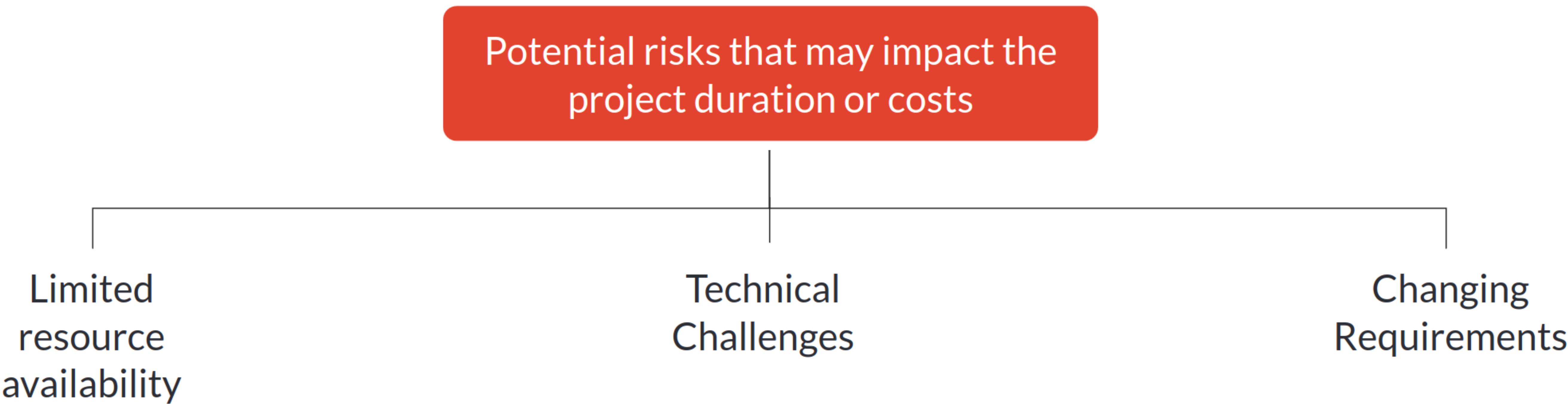
Scope Management

Clearly define the scope of work and establish a process for managing scope changes to ensure they do not exceed the established caps. Regular scope reviews and change control procedures are crucial.



Risk Assessment

Identify and assess potential risks that may impact the project duration or costs, such as limited resource availability, technical challenges, or changing requirements. Factor in appropriate contingencies within the caps to mitigate these risks.



Continuous Monitoring

Regularly monitor and report on the project progress, time and expenses incurred, and remaining capacity under the caps. Proactive monitoring allows for timely adjustments and prevents overruns.

